

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 15-11

IGOR OVCHINNIKOV, IRINA RZAEVA, and DENIS NEKIPELOV,

— vs. —

**MICHAEL HITRINOV a/k/a
MICHAEL KHITRINOV,
EMPIRE UNITED LINES CO., INC., and CARCONT, LTD.**

INFORMAL DOCKET NO.: 1953(I)

KAIRAT NURGAZINOV,

— vs. —

**MICHAEL HITRINOV a/k/a
MICHAEL KHITRINOV,
EMPIRE UNITED LINES CO., INC., and CARCONT, LTD.**

**DECLARATION OF MARCUS A. NUSSBAUM IN RESPONSE TO ORDER
REQUIRING THE PARTIES TO SUPPLEMENT THE RECORD**

MARCUS A. NUSSBAUM, hereby declares as follows:

1. I am a member of the Bar of the States of New York and New Jersey. I submit this Declaration in response to the Commission's Order of May 11, 2022 requiring a sworn statement from me responding to Respondents' Counsel's assertions regarding my alleged violations of the American Bar Association's ("ABA") Model Rules of Professional Conduct and/or the Commission's Rules. I know the facts testified to in this Declaration to be true based on my own personal knowledge and a review of the documents.

2. In the first instance, I respectfully ask the Commission to note that my colleague, Mr. Seth Katz will not be filing a Declaration in response to the Commission's Order. The undersigned has advised the Commission on a number of occasions (including on page "4" of Complainants' Cross-Motion For An Order To Show Cause As To Why The Commission Should Not Suspend Respondent's Counsel From Practicing Before The Commission [Doc. 114, dated September 8, 2016]) that all pleadings, motions, status reports, filings, correspondence, and all writings and materials relating to the litigation of this matter from its inception up to and including the time of this writing have been authored and prepared solely and exclusively by the undersigned, and not by Mr. Katz, who has to date played an extremely limited role in the litigation of this matter, having been retained primarily for purposes of depositions and trial hereon.

3. Mr. Katz has no personal knowledge of the underlying facts set forth herein in response to the allegations of respondents' counsel, nor has he played an active role in this matter for a significant portion of the (almost) seven (7) years that this matter has been active before the Commission. The undersigned will, by separately filed motion, request that Mr. Katz be removed as counsel of record.

The Issues Raised In the Commission's Order of May 11, 2022 Have Already Been Considered Finally And Conclusively and Resolved In Favor of Complainants

4. The Commission is aware that its May 11, 2022 Order to which this Declaration responds explains as follows:

Respondents' Counsel—and the Administrative Law Judge, in his Initial Decision—raise serious concerns regarding, among other things, the authenticity of key documents on which Complainants rely. See, e.g., Resp'ts' Counsel's Mot., Doc. 112 at 4-8; id. at App. A; Initial Decision, Doc. 152 at 55-58

5. In the first instance, and after having reviewed pages 55-58 cited above in the Initial Decision, the undersigned respectfully disagrees with the characterization set forth in the May 11, 2022 Order regarding the Presiding Officer allegedly having raised serious concerns regarding, among other things, the authenticity of key documents on which Complainants rely. Pages 55-58 of the Initial Decision are simply a recitation of respondents' reply to complainants' response to the Presiding Officer's June 29, 2016, Order for Parties to Supplement the Record. The entirety of these pages are Mr. Jeffrey's own words and not that of the Presiding Officer. There are no conclusions drawn, nor any concerns raised, by the Presiding Officer in these pages.

6. More troubling is the fact that the May 11, 2022 Order apparently (and improperly) allows for the relitigation of issues barred by *res judicata* and that have been finally and conclusively resolved by the Presiding Officer *years* ago (now by way of backdoor through the current reconsideration of these issues in Respondents' Counsel's Exceptions to the Presiding Officer's Decision Not to Consider Disciplinary Action Against Complainants' Counsel [Doc. 128] and his petition for leave to supplement these exceptions [Doc. 145]). Specifically, respondents and their counsel had previously raised the issues regarding the alleged lack of authenticity of the very same documents in their Motion to Strike Complainants' Shipping Documents filed on June 22, 2016. That motion was denied by Order of the Presiding Officer on March 9, 2017 and respondents did not file Exceptions to the Order denying their Motion to Strike the documents. Respondents should be precluded from doing so through their Exceptions to the Presiding Officer's Decision Not to Consider Disciplinary Action Against Complainants' Counsel [Doc. 128] and petition for leave to supplement these exceptions.¹

¹ It is respectfully submitted that respondents do not have standing to seek this Commission's enforcement of the Model Rules. See, *New Amsterdam Capital Partners, LLC v. Krasovsky*, 2016 U.S. Dist. LEXIS 24117, at *35 (S.D.N.Y. 2016) (The fact that a Rule is a just basis for a lawyer's self-assessment, or for sanctioning a lawyer under the administration of a disciplinary authority, does not imply that an antagonist in a collateral proceeding or transaction has standing to seek enforcement of the Rule.)

7. The foregoing is offered up front for the Commission's consideration due to the fact that on June 11, 2022, the respondents failed (despite having been given the opportunity to do so) to withdraw their pending exceptions and have instead opted to continue to waste the resources of the Commission with their arguments regarding alleged fabrication of shipping documents, which were already rejected by the Presiding Officer.

Response to Alleged Violations of Model Rules of Professional Conduct 3.3(a)(3) and 3.4(a) Regarding Falsified Evidence

There is No Basis in Fact for Respondents' Claims that the Undersigned Created and/or Submitted Invoices Allegedly Known to Be False, Nor Is There Any Evidence That They Were In Fact False

8. The allegations set forth in this section of respondents' September 7, 2016 motion and in respondents' Exceptions of October 11, 2016 are with regard to four sets of documents which respondents explain to be "...the four Empire invoices to Global for the vehicles at issue in this proceeding...", and respondents allegation that "...the documents produced by Complainants have been heavily doctored from the originals." In support of this falsity, respondents claim that "...[i]t does not take a forensics expert, but simply a pair of not-too-impaired eyes..." to see that the documents have allegedly been altered from originals. Respondents also argue that the undersigned was allegedly counsel for Global "...at the time the [allegedly] original invoices were sent by Empire and received by Global..."; that attorney Jon Werner allegedly found a template for these documents on Global's computer during the course of litigation on a related matter; and that Sergey Kapustin stated under oath that the undersigned allegedly "masterminded" the fabrication of these documents. Each of these falsities are addressed, in turn, below.

Respondents' Counsel Conflates Two Entirely Distinct and Separate Sets of Documents as A Basis for Alleged Fabrication

9. In the first instance, the four sets of documents annexed to respondents' September 7, 2016 motion and respondents' Exceptions of October 11, 2016 (in both cases as Appendix "A")

are separate and distinct from one another – these are not “invoices” nor allegedly doctored copies of invoices as argued by respondents. Put simply, each set contains: 1) a single email from Yulia Mikhalkovich at Empire to “account at globalautousa.com”; and 2) a single document with the title “STATEMENT” bearing “Paid” stamp. None of these documents purport to be invoices or altered copies of one another.

10. To the extent that respondents argue that a forensic expert is not required in order prove that these documents were allegedly fabricated, the undersigned responds by stating that allegations of forgery, which bear such serious possible consequences (such as the disciplinary action which respondents seek from the Commission) should indeed be supported by a credible forensic examiner and not by the facts or unsubstantiated ‘expert’ testimony of respondents’ counsel.

The Undersigned Was Not Counsel for Global At The Time The Allegedly
Original Invoices Were Sent By Empire And Received By Global

11. A review of Appendix “A” to both respondents’ September 7, 2016 motion and respondents’ Exceptions of October 11, 2016 indicates that the four emails sent by Yulia Mikhalkovich at Empire to “account@globalautousa.com” which respondents claim to be “invoices” were sent on the following dates: November 12, 2012 (by two separate emails on that date), December 17, 2012 and January 7, 2013.

12. Respondents falsely claim that the undersigned was allegedly counsel for Global during that time and argue that because of this, the undersigned allegedly has knowledge of the (alleged) fabrications - - this is incorrect. All of the emails which respondents rely upon predate the undersigned’s representation of Sergey Kapustin and his companies (including Global), whom the undersigned did not meet for the first time until February of 2013.

13. Annexed hereto as Appendix “A” is the cover email (which attached a retainer agreement) from attorney Harlan Greenberg, who, together with the undersigned, represented Kapustin and his companies in the related matter in Federal Court and which is dated February 22, 2013. Prior to this time, the undersigned had no knowledge of the existence of Kapustin and his companies, let alone during the times that the emails were allegedly sent by Empire to Global.

The Undersigned Received the “Statements” Directly from Global After
Having Been Retained By Global in 2013 and In Preparation for Filing a
Lawsuit on Global’s Behalf

14. To the extent that respondents argue that the undersigned allegedly “masterminded” the creation of invoices, and that attorney Jon Werner allegedly found a template for these documents on a Global computer during discovery in a related matter, the undersigned responds and states that respondents’ specious allegations have no basis in fact for the reasons set forth below.

15. With specific regard to Attorney Jon Werner, the August 15, 2016 Affirmation of Jon Werner annexed as Exhibit “B” to the September 7, 2016 motion that Affirmation makes *absolutely no reference* to computer related discovery in the related Federal matter, but rather speaks of alleged violation of the Court’s Protective Order, which the undersigned addresses later in this Declaration. That Affirmation is also annexed to respondents’ August 15, 2016 Motion to Correct the Record.

16. To the extent that respondents rely upon any other Affirmation of Attorney Werner, who purports to have located files or a “template” on Global’s computer system, the location of any such files does not establish any alleged knowledge and/or role of the undersigned in any

alleged fabrication of documents.² That affirmation does not connect the existence of any alleged template to the undersigned. Specifically, the first time that the undersigned ever became aware of the existence of the Statements produced by Kapustin was on April 11, 2013 when those Statements were emailed to the undersigned by Kapustin and Global in preparation for litigation in the related Federal matter. Annexed hereto as Appendix “B” is a copy of the cover email from account@globalautousa.com, together with the printout of the native electronic copies of the Statements received by the undersigned on that day.

17. To the extent that respondents rely upon the testimony of Sergey Kapustin (whom respondents admit in their September 7, 2016 is “not an entirely reliable witness”) for the allegation that the undersigned allegedly “masterminded” anything at all, the Commission is respectfully referred to Complainants’ Status Report of June 10, 2019 (Doc. 197) which contains a significant amount of relevant deposition testimony under oath by Mr. Kapustin wherein he recants his statements regarding the undersigned and explains that he does not read or speak English, that he never read or reviewed any papers and affirmations submitted by him in the instant matter, and that under threat of physical violence (after respondents’ attempts to bribe him failed) he simply signed said papers which were drafted by respondents and their counsel, knowing that they contained false statements of fact. In considering the drastic relief of disciplinary action requested by respondents, the undersigned respectfully urges the Commission to read the Status Report in its entirety.

² To the extent that the issue of Mr. Werner’s credibility is relevant regarding his testimony that he allegedly located files on Global’s computer system, the Commission is respectfully reminded that Mr. Werner was disqualified from representing the respondents herein after he was exposed for lying to a Federal Judge in the related matter. That information can be found in Complainants’ Status Report (Doc. 194 dated December 27, 2018 and filed January 28, 2019) and Complainants’ Response to Respondents Motions To Strike Status Reports (Doc. 200, dated August 28, 2019)

Response to Alleged Violations of Model Rule of Professional Conduct 3.3(a)(1)

The Undersigned's Travel Overseas During the Summer of 2016 Encompassed A Trip To Israel To Attend To Family Matters And Additional Days Within Which Complainants' Counsel's Office Was Closed For Business, And No Misrepresentations Were Made To Anyone Regarding the Undersigned's Personal Scheduling Matters

18. While a response to respondents' allegations regarding Model Rule of Professional Conduct 3.3(a)(1) was not specifically requested by the Commission, the undersigned nevertheless briefly responds and states that respondents' allegations that the undersigned misrepresented anything to the Presiding Officer regarding scheduling, is false. As stated in Complainants' Cross-Motion For An Order To Show Cause As To Why The Commission Should Not Suspend Respondent's Counsel From Practicing Before The Commission [Doc. 114, dated September 8, 2016]), Complainants' counsel scheduled personal time off from July 13, 2016 through August 11, 2016.

19. Though manifestly none of Mr. Jeffrey's business, the purpose of said time off encompassed a trip to Israel to attend to family matters and additional days within which complainants' counsel's office was closed for business. The fact that complainants' counsel undertook to conduct a deposition on an unrelated matter during said time off is not only manifestly none of Mr. Jeffrey's business and of no consequence whatsoever with respect to litigation of the instant case but again constitutes no ground whatsoever for the draconian relief absurdly sought by Mr. Jeffrey upon such ridiculous grounds as those set forth above, which are now paraded before the Commission to detract and distract from Respondents' Counsel's own grossly unethical methods of practice.

Response to Alleged Violations of Model Rule of Professional Conduct 1.9(c)

The Production of Documents Belonging to Global Did Not Violate A Protective Order And Was Done So With The Express Written Permission of Sergey Kapustin

20. In support of respondents' argument that the undersigned allegedly violated the Protective Order entered by Judge Reyes in the related Federal matter on April 9, 2014, respondents rely upon the Affirmation of Jon Werner purportedly annexed as Appendix "B" to their Exceptions together with the Protective Order annexed thereto, as well as a July 13, 2016 Affirmation of Sergey Kapustin.

21. Thankfully, and prior to respondents succeeded in witness tampering of Sergey Kapustin (by attempting to bribe him and then threaten him with physical violence in order to coerce false statements from him as explained in Complainants' June 10, 2019 Status Report), on or about January 15, 2016 the undersigned received from Mr. Kapustin a notarized Waiver of Attorney-Client Privilege and Written Consent to Disclosure, a copy of which is annexed as Appendix "5" to Complainants' October 21, 2016 Response to Exceptions of Respondents' Counsel to the Presiding Officer's September 16 Decision not to consider Disciplinary Action against Complainants' Counsel [Doc. 129]. In that document, Mr. Kapustin granted permission to the undersigned to discuss all issues raised privately with counsel and to disclose all written communications that he and his companies have had with the undersigned. Mr. Kapustin additionally agreed in writing to hold the undersigned harmless, whether during or after the attorney-client relationship had ended, from disclosing confidential and/or privileged information.

22. Mr. Kapustin's Waiver of Attorney-Client Privilege and Written Consent to

Disclosure was executed subsequent to the entering of the Protective Order. To the extent that there was disclosure of documents subject to the Court's Protective Order, that disclosure was made with Kapustin's express written permission. Moreover, and notwithstanding the fact that the undersigned was not a signatory to the Protective Order, paragraph "12" of said order itself specifically allows for the disclosure of Mr. Kapustin's documents.

Response to Alleged Violations of Model Rule of Professional Conduct 1.8(b)

23. To the extent that counsel cites Model Rule 1.8(b), which prohibits the use information relating to representation of a client to the disadvantage of the client, unless the client gives informed consent, that issue has already been addressed above. To the extent that respondents appear to argue in the first instance that "information" was allegedly used to the disadvantage of Mr. Kapustin (a situation covered by the rule) the undersigned produced, years ago, the January 15, 2016 notarized Waiver of Attorney-Client Privilege and Written Consent to Disclosure, wherein Mr. Kapustin expressly gave his permission for use of his "information". Again, and other than to burden the Commission and waste its resources, there can be no explanation as to why respondents have refused to withdraw this argument.

24. Strangely enough, respondents then pivot and attempt to make the argument that the usage of "information" belonging to Kapustin was used to the disadvantage of the Complainants herein. While such a situation is not covered within the meaning of Model Rule 1.8(b) inasmuch as the "information" belonged to Kapustin, it is respectfully submitted that no conflict has arisen as a result of the undersigned's sharing of information with counsel for plaintiffs in the matter of Ardak Akishev et al. v. Sergey Kapustin et al.(U.S.D.C. – D.N.J. Docket No.: 13-cv-07152).

25. On this issue, respondents have attempted to create a conflict based upon mere speculation and which is also based upon incorrect facts. The two cases do not have a mutually

adverse effect upon one another. In the first instance, while the Presiding Officer may have ruled that Empire cannot be required to pay double for the same vehicles, respondents omit the fact that the complainants' vehicles at issue herein are not at issue in the matter of Ardak. Complainants are not parties in that matter either. A plaintiff's victory in the matter of Ardak, which has yet to occur, would in no way limit the compensation afforded to complainants herein - - that argument is based solely on counsel's speculation that there is some limited pool of funds available to compensate the parties in both matters. Thus there is absolutely no factual basis for respondents' argument that there is any alleged "race to the finish line".

Response to Alleged Violations of Model Rule of Professional Conduct 3.4(c)

26. While a response to respondents' allegations regarding Model Rule of Professional Conduct 3.4(c) was not specifically requested by the Commission, the undersigned nevertheless briefly responds and states that the issue of any alleged filing of unauthorized replies to various motions filed by complainants was already addressed by the Presiding Officer and cannot be relitigated here. Specifically, respondents refer to the August 24, 2016 Motion for Leave to File a Sur-Reply, which was *granted* by the Presiding Officer in his March 9, 2017 Order on Pending Motions. Complainants' August 30, 2016 Motion to Supplement the Record (also now referred to by respondents) was also granted in the Presiding Officer's March 9, 2017 Order on Pending Motions. The March 9, 2017 Order also explicitly stated that: All Motions seeking to exclude documents or evidence are DENIED. Respondents never filed Exceptions to the March 9, 2017 Order which subsumed all of respondents' arguments regarding the alleged unauthorized filing of replies, or Status Reports which contained relevant post-exceptions documents or evidence.

27. Briefly and with regard to respondents' arguments on the issue of the obligation of the parties to confer prior to the filing of non-dispositive motions, respondents admit that complainants made an effort to confer prior to the filing of the motion referred to by respondents.

28. With regard to the undersigned's responses to balance of the alleged violations of rules cited by respondents, the Commission is respectfully referred to Document 188 (Complainants' Status Report of July 19, 2018), Document 190 (Complainants' Response to Respondents' Motion for Who Knows What and Certification of Marcus A. Nussbaum dated July 31, 2018), Document 194 (Complainants' Status Report of January 28, 2019), Document 197 (Complainants' Status Report of June 10, 2019); and Document 200 (Complainants' Status Report of August 28, 2019), and the asserted facts and arguments set forth therein, which are incorporated into this Declaration in their entirety.

29. I hereby declare that the foregoing statements made by me are true. I am aware that if any of the foregoing statements by me are willfully false, I am subject to punishment.

Dated: August 10, 2022

Respectfully submitted,

/s Marcus Aurelius Nussbaum
Marcus A. Nussbaum, Esq. (MN 9581)
marcus.nussbaum@gmail.com
Attorney for Complainants

CERTIFICATE OF SERVICE

I hereby certify that I have this day served the **DECLARATION OF MARCUS A. NUSSBAUM IN RESPONSE TO ORDER REQUIRING THE PARTIES TO SUPPLEMENT THE RECORD, COMPLAINANTS' STATEMENT IN RESPONSE TO THE COMMISSION'S MAY 11, 2022 REGARDING PENDING MOTIONS OR EXCEPTIONS AND FORMS OF RELIEF REQUESTED and TRANSLATED INVOICE**

upon Respondents' Counsel via email (EJeffrey@jeffreyfenneman.com), as follows:

Jeffrey/Fenneman Law + Strategy PLLC
Attn: Eric C. Jeffrey, Esq.
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Washington, DC 20005

Dated: August 10, 2022
Brooklyn, New York

/s/ Marcus Aurelius Nussbaum
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